

decent chunk of change quickly with this pattern. Because the ultimate low is further away, it takes almost twice as long to reach it.

Table 75.2 General Statistics

Description	Bull Market	Bear Market
Number found	5,937	1,140
Average decline to ultimate low	−12%	−19%
Average decline to EPA	−9%	−14%
Breakeven failure rate to ultimate low	30%	13%
Breakeven failure rate to EPA line	23%	7%
Time to reach ultimate low	30 days	29 days
Time to reach EPA line	15 days	16 days
How many change trend?	18%	38%

How many change trend? As a measure of how many patterns see price drop more than 20% below the peak at turn 5, the results leave something to be desired. The numbers are well below what we've seen for other types of chart patterns (the averages: 28% for bull markets and 49% for bear markets).

Keep in mind that I didn't add any special sauce to the Wolfe model to improve performance. If you follow Wolfe's guidance, then maybe you can get the pattern to perform better.

Table 75.3 shows volume statistics as they relate to performance.

Performance, volume above/below average. I measured volume at point 5 (1 day) and compared it to the average volume of the prior month (not including point 5). Performance measures from the peak at point 5 to the ultimate low, not the EPA line.

I found that when point 5 had above-average volume, the stock declined marginally more, but the failure rate (the number in parenthesis) dropped markedly for both bull and bear markets.

Volume twice average. For those stocks where volume at peak 5 was at least twice the monthly average, the failure rate dropped even more (to